

of financial instruments such as promissory notes for payment, which the merchants could now trust would be honored or, if necessary, enforced by the courts.

As voluntary bodies, the merchant courts had more in common with modern arbitration rather than formal judicial courts. However, their very flexibility and the lack of uniformity in the rulings they made raised troubling issues. They operated under few general legal principles, and even those principles that seemed to be universal, such as that of “earnest” (a part-payment made to seal a contract), were subject to variance.

Because merchants could petition for cases to be considered under whichever legal system they chose, this could lead to further disputes between parties. There were cases where Antwerp merchants trading with merchants in London refused to submit to the law of London, while the authorities in Ypres insisted that any merchants trading there did so under the law of Ypres. National governments were

## The new *Lex Mercatoria*

An intensification of trade and the proliferation of independent legal jurisdictions fueled by 20th-century decolonization brought a growing awareness of the need to ensure international commerce was not strangled by legal impediments.

In 1940, UNIDROIT, the International Institute for the Unification of Private Law, was set up to harmonize private commercial law and establish generally agreed-on principles

for international contracts. Similar to the original *Lex Mercatoria*, its guidelines are not mandatory and only apply where parties opt to follow them. The rise of other international organizations such as the United Nations has led to a parallel growth in mechanisms to resolve legal conflicts. These include UNCITRAL, the UN Commission on International Trade Law, whose Vienna Convention (1988) seeks to remove legal barriers to world trade by setting in place mutually accepted rules on, for example, breach of contract.

also concerned that foreign merchants were able to gain undue advantage by appealing to judgment under the *Lex Mercatoria*. The English Parliament sought to subsume it under the common law. As early as 1353, King Edward III established staple ports in England, Wales, and Ireland where specific goods (or “staples”) could be traded. These ports had their own courts, administered by the Crown, to rule on commercial disputes. Even so, a court chaired by Bishop Robert Stillington in 1473 could still assert that foreign merchants should be judged according to the *Lex Mercatoria*. That position gradually began to shift in the 17th century, when champions of common law such as jurist Edward Coke fought for its supremacy.

By the 1760s, Lord Chief Justice William Murray, Earl of Mansfield, declared that there was no such separate body of law as the *Lex Mercatoria*. The 1809 edition of

jurist William Blackstone's *Commentaries on the Laws of England* reinforced the view that merchant practices were covered by the law of the land and that the *Lex Mercatoria* no longer had force.

## State law takes over

Across Europe, as national judiciaries and legislatures grew stronger, they no longer tolerated the existence of competing types of law within their jurisdictions. Commercial law codes enacted by individual states took the place of the *Lex Mercatoria*—among them, the French *Code de Commerce* in 1807 and the German *Allgemeines Deutsches Handelsgesetzbuch* in 1861. And yet, although the *Lex Mercatoria* seemed moribund, it was not entirely dead.

During the 20th century, when the volume of international trade soared, there was a new wave of private commercial law for dealings between private individuals that do not involve the state (see box, above). Born over a millennium ago, as Europe rebuilt itself after the fall of Rome, the *Lex Mercatoria* still remains relevant in the field of international trade. ■



**Spain's Book of the Consulate of the Sea** is a collection of maritime customs that contributed to the development of the *Lex Mercatoria* in the Middle Ages. This edition was printed in 1523.